MODULE 15

Wallet and QR Code Fraud Investigation

Certified Cyber Criminologist - Police / LEA Training

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What You Will Learn

Wallets and UPI move crores daily - **invisibly**. This module makes the invisible traceable.

- **E-wallet fraud methods** - KYC fraud, cashback traps, fake customer care
- **BNSS s.94 notices** - getting KYC, transactions, device and IP data legally
- **Mule accounts and layering** - reading the money's camouflage
- **QR scams** - the 'scan to receive' trap, and preserving QR evidence
- **UPI investigation** - UTR, VPA, collect requests, the NPCI trail
- **The golden hour** - stopping money before it vanishes

E-Wallet Fraud: Three Methods

Crores use Paytm, PhonePe, Amazon Pay daily. **Where money sits, criminals knock**:

- **KYC fraud:** 'your KYC is incomplete' - victim downloads an app, criminal takes the phone
- **Cashback traps:** fake 'Rs 500 cashback' offers - load money, watch it disappear
- **Fake customer care:** Google's top 'helpline' result is the criminal's number

KYC Fraud: Anatomy

The most industrialised wallet fraud in India. **Know its exact sequence:**

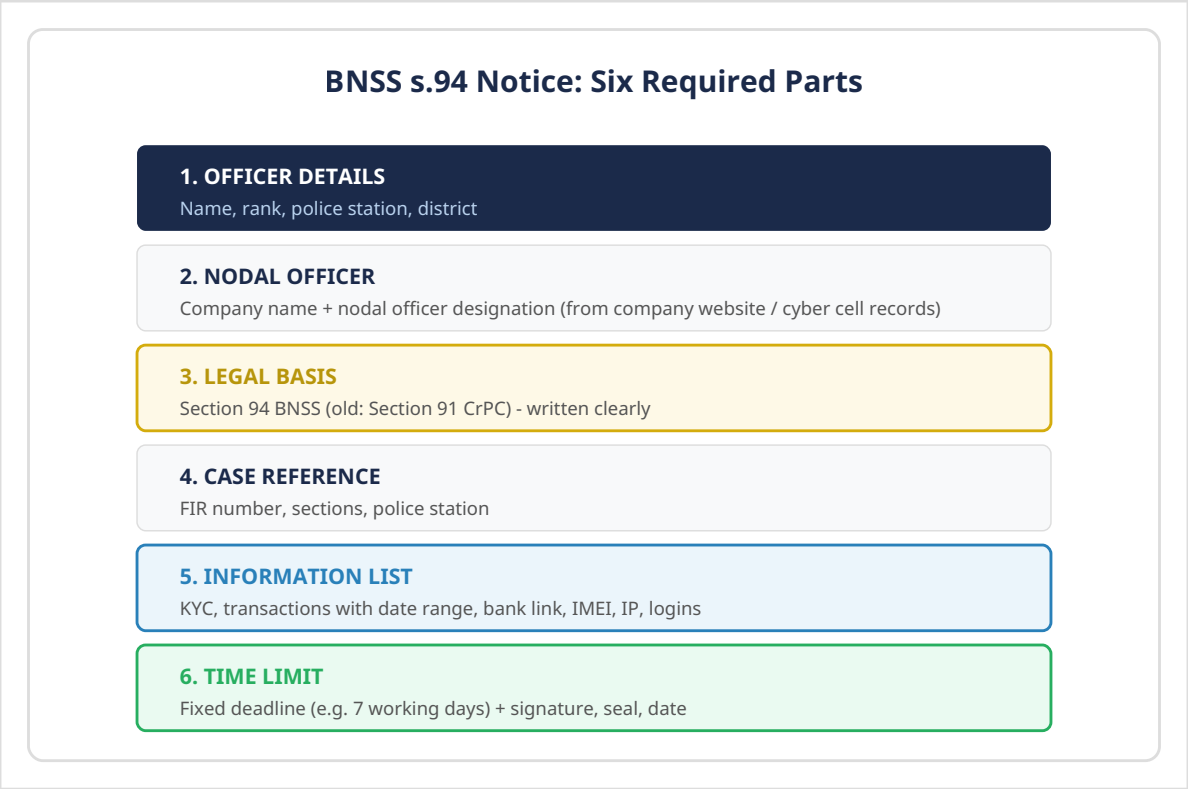
- Call posing as wallet officer: 'KYC incomplete, account closing today'
- Victim installs a **remote-access app** - criminal sees everything, controls the phone
- OTP arrives, criminal reads it live, **wallet emptied in minutes**
- Your first question: **which app was installed, and where did the call come from?**

Getting Data: The BNSS s.94 Process

The money's trail sits with the wallet company. **Law opens that door**:

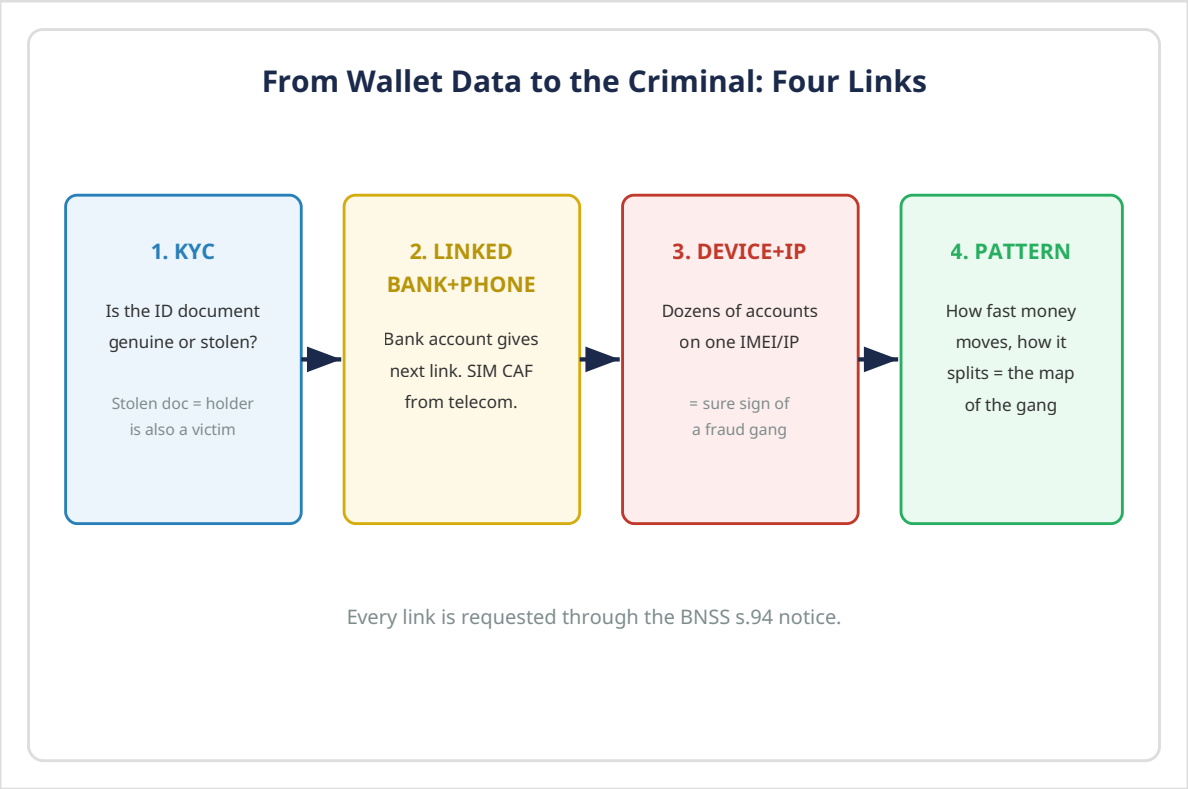
- Old: CrPC s.91 - **new: BNSS s.94**. Write the new section on every notice
- Notice goes to the company's **nodal officer** - find contacts via company site or cyber cell
- Company must reply in fixed time; **non-compliance invites legal action**
- Decide your fields **before** sending - incomplete asks stall the case

Anatomy of a s.94 Notice



- Six parts, none optional - **a rejected notice costs weeks**
- Every data field needs a **date range**; add a confidentiality line

From Wallet Data to the Criminal



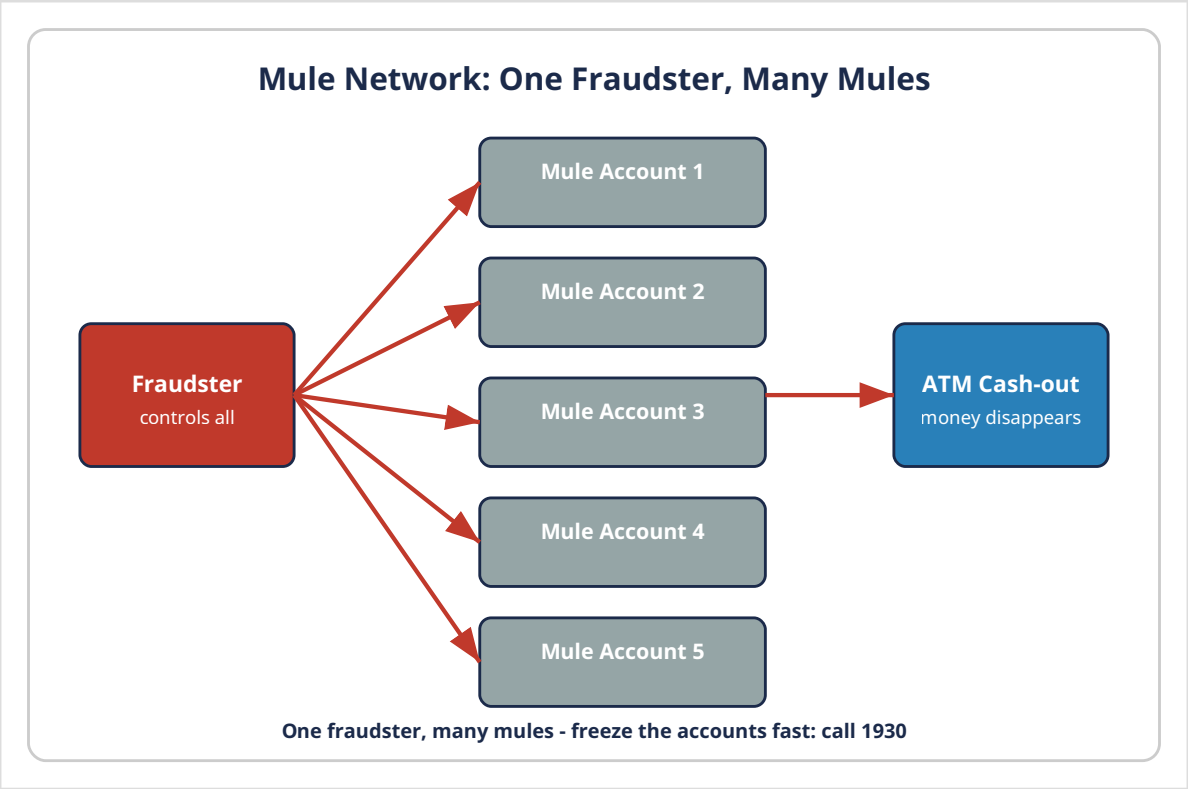
- Four links, one chain: **KYC → bank/phone → device/IP → pattern**
- Each link is a separate s.94 ask - **request them together** to save time

Mule Accounts: The Criminal's Porters

Mule = the beast that carries the load. Mule accounts carry crime money so the gang stays hidden:

- Opened with stolen documents, or via **job/commission traps** on innocent people
- Money hops account to account - each hop **fades the trail**. This is layering
- Direct transfer to their own account = instant arrest; **mules buy distance**

The Mule Network



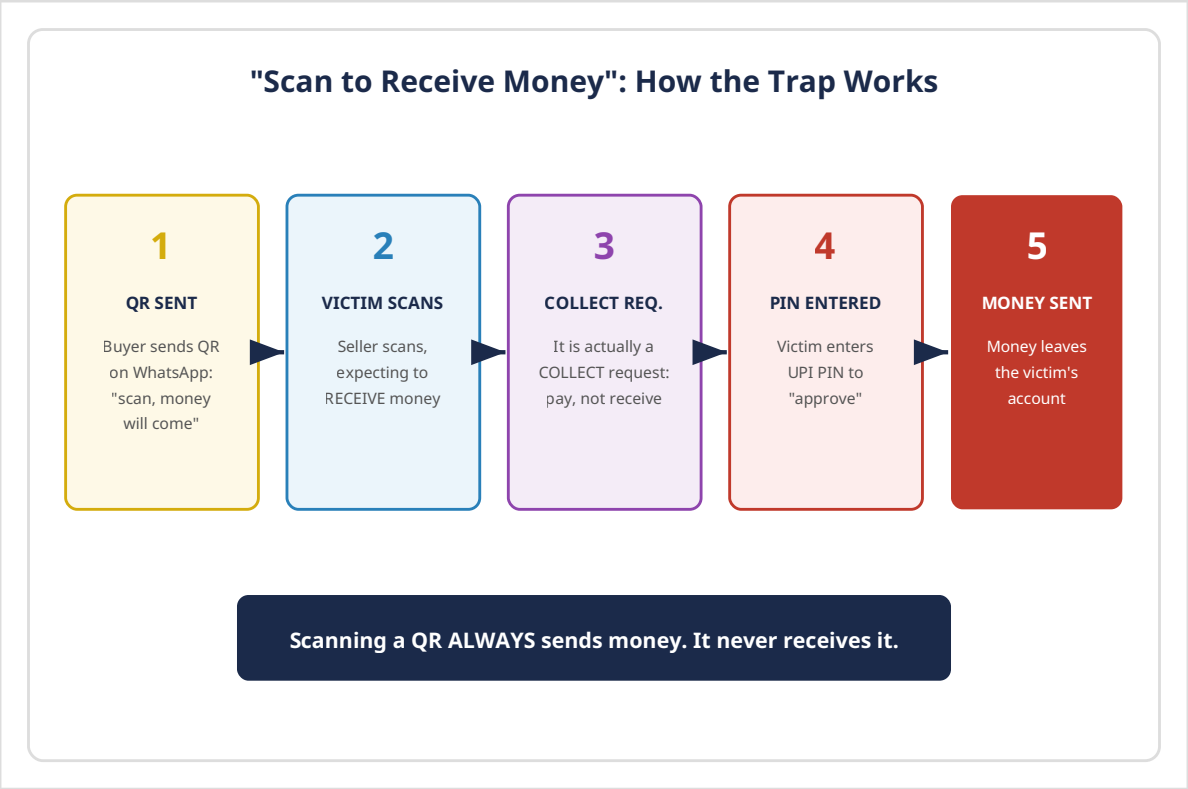
- One fraudster fans money across **many mules** - then cash out
- Find the **distribution account** (layering centre) and the **cash-out point**

Victim or Accused? Decide Carefully

The mule-account holder may be **criminal or victim** - the law treats them very differently:

- **Knowingly involved:** took commission, knew the money was wrong = **co-accused**
- **Fooled:** documents stolen or misused = **witness/victim**
- Decide via: questioning, phone records, money-distribution pattern
- Check account-opening CCTV and the **agent/shop** that took the documents

"Scan to Receive Money": The Trap



- OLX sellers are the classic victims: advance payment promised, QR sent on WhatsApp
- **UPI PIN = payment authorisation.** Entering it always sends money

Two More QR Tricks

The QR scam has **variants** - recognise all three:

- **Fake stickers:** criminal's QR pasted **over the shop's real QR** - customer pays the thief
- **Fake payment screenshots:** criminal 'pays', shows a doctored screenshot, walks away with goods
- Shopkeeper's defence you teach: **check your own account**, never trust a screenshot

Preserving a Fake QR as Evidence

A fake QR stuck at a shop is **physical evidence** - treat it like a fingerprint:

- **Gloves on**, peel carefully, seal in a plastic bag
- Tag it: date, time, **exact place** found - chain of custody begins here
- Photograph it **in place first** - position proves it covered the real QR

UPI Fraud: The Collect-Request Game

UPI's most abused feature: the criminal sends **you** a request to **send money**:

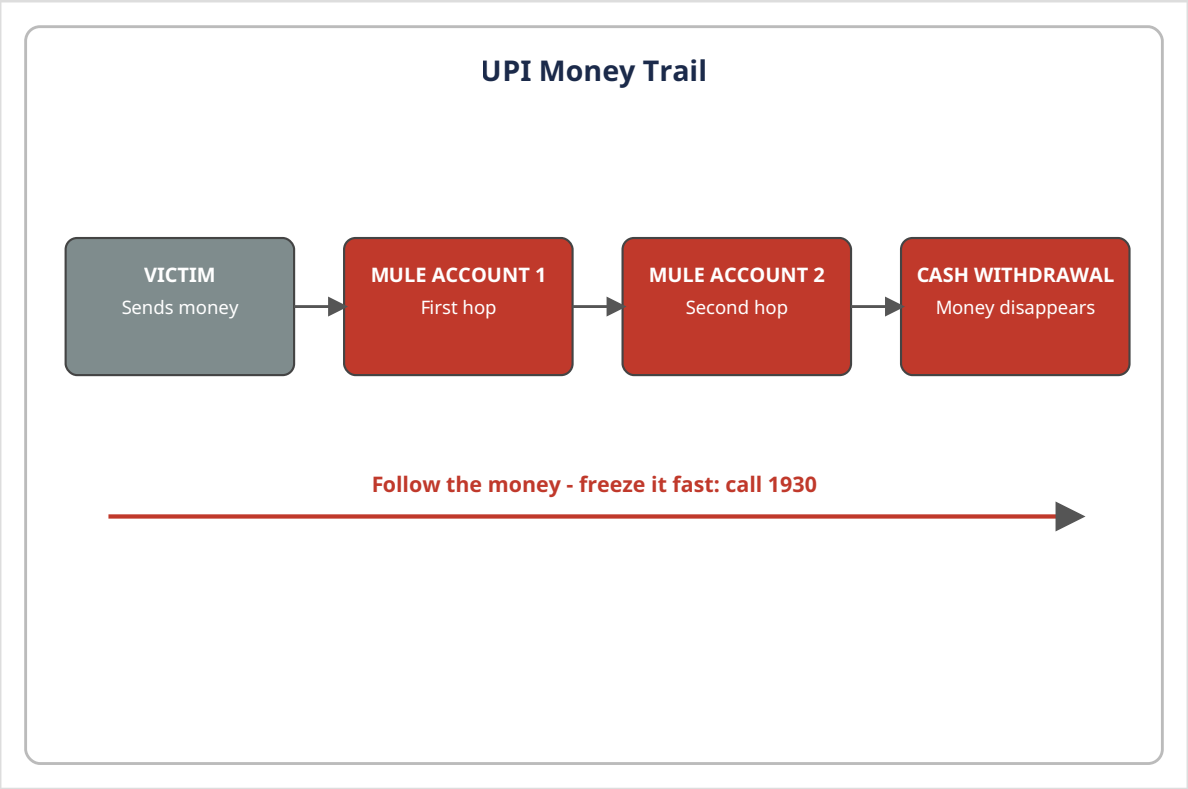
- 'Approve to receive Rs 10,000' - the request is actually **to pay Rs 10,000**
- Victim enters UPI PIN = **payment authorised**. Money gone in seconds
- Rule for the public: **receiving money never needs your PIN** - entering PIN always pays

UTR and VPA: Your Two Compasses

Every UPI payment leaves **two identifiers** - learn to read both:

- **UTR** (Unique Transaction Reference): the transaction's fingerprint - NPCI and banks trace it end-to-end
- **VPA** (Virtual Payment Address): name@upi - maps to a person, device, bank account
- Dozens of VPAs on **one IMEI** = fraud gang's signature - ask for the full list

The UPI Money Trail



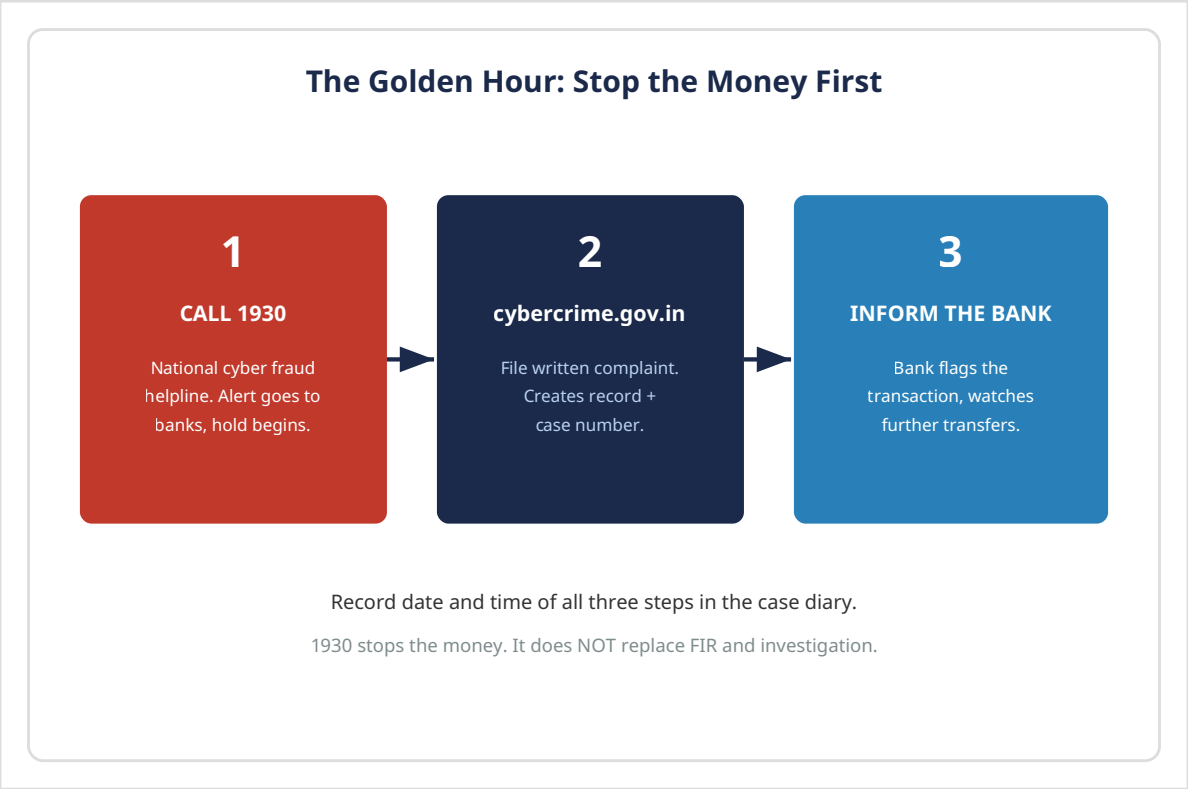
- UTR → payer VPA → payee VPA → device/IMEI → bank account - **one unbroken chain**
- Get the trail from the UPI app company **and NPCI** - in parallel, not sequence

Screen-Sharing Apps: The Invisible Theft

AnyDesk, TeamViewer - installed on the criminal's instruction, **the phone becomes his**:

- Criminal watches the screen live, **reads the UPI PIN** as the victim types it
- Investigation: which app, **installed when**, where did its data go at that time
- Victim's phone logs: installation time + app logs = **timeline of the takeover**

The Golden Hour: Stop the Money



- Stolen money **splits across accounts in minutes** - speed beats perfection here
- 1930 is triage, **not** investigation - FIR and notices follow in parallel

Real Case: The OLX Seller Who Got Looted

The classic QR fraud, repeated **thousands of times** across India:

- Seller lists sofa/bike; 'buyer' agrees instantly, sends QR for 'advance payment'
- Seller scans, enters UPI PIN - **money deducted**, buyer vanishes
- Police warning, repeated: money **never comes** from scanning a QR - it only goes
- Source The Times of India

Real Case: The KYC Fraud Web

Wallet-KYC fraud ran at **industrial scale** across India:

- 'Paytm officer' calls: KYC incomplete, install this app - **phone hijacked**, account emptied
- Money split instantly across **mule networks**; agencies exposed entire chains
- Many 'account holders' were job-trap victims themselves - **victim vs accused decided case by case**
- Source The Indian Express

Your Turn: Labs in This Module

Five labs on **sample data only** - fictional throughout:

- **Lab 1:** Extract 10 data points from a sample UPI record - UTR to IMEI
- **Lab 2:** Draft a complete s.94 notice to a wallet company's nodal officer
- **Lab 3:** Inspect a QR safely - preview only, spot the 3 danger signs
- **Lab 4:** Draw a mule-network link chart from 10 sample transactions
- **Lab 5:** Spot the gang: 5 VPAs, one IMEI, one IP - write the case-diary note

Mistakes That Lose Wallet Cases

Money moves fast; **mistakes move faster**:

- Sending a **vague s.94 notice** - 'give everything' gets rejected; targeted gets data
- Treating every mule holder as a criminal - **victims stop cooperating**
- Letting the victim **delete the QR/chat** - the first link to the criminal, gone
- 1930 done, investigation 'later' - **parallel tracks**: freeze money AND file FIR

Key Takeaways

If you remember nothing else from Module 15:

- Wallet fraud = **KYC calls, cashback traps, fake helplines** - know all three
- Data comes via **BNSS s.94** to the nodal officer - six parts, date ranges, on time
- Follow four links: **KYC → bank/phone → device/IP → pattern**
- Scanning a QR **always sends money** - receiving never needs your PIN
- **Mule holder: victim or accused?** Decide with evidence, not assumption
- **Golden hour:** 1930, portal, bank - record every timestamp

Review Questions

- 1. List five data fields in a s.94 notice to a wallet company and the use of each in investigation.
- 2. Why are dozens of VPAs on one IMEI a gang signature? Explain in your own words.
- 3. What is layering, and why does it change how you investigate - but not whether you investigate?
- 4. Technically, why does money leave the account the moment the UPI PIN is entered on a 'receive' QR?
- 5. You find a fake QR pasted over a shop's real one. List your preservation steps in order.

NEXT: MODULE 16

SIM Swap and Mobile Fraud

Your number, hijacked - the investigation

Cyber Crime Investigator - Training Manual